Cumulus Bank

Wealth management from Cumulus Bank

WEALTH MANAGEMENT · TRUST SERVICES

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PRODUCT BROCHURE · TRUST SERVICES

Cumulus Revocable and Irrevocable Trusts

Corporate trustee, co-trustee, and successor trustee services for revocable living trusts used during the grantor's lifetime and irrevocable trusts used for transfer-tax, asset-protection, and multigenerational planning.

ROLE AVAILABLE	Trustee · Co-trustee · Successor trustee
TRUST TYPES	Revocable living, irrevocable, ILIT, GRAT, SLAT, GST
MINIMUM ANNUAL FEE	$5,000
SETUP FEE	$2,500
FIRST $2M IN TRUST ASSETS	0.95% annually
FEE BREAKPOINTS	Tiered to 0.35% above $10M
STANDARD OF CARE	Prudent-investor rule under UPIA / state UTC
ANNUAL ACCOUNTING	Prepared by Cumulus fiduciary tax group

AT A GLANCE

Overview

A trust is a legal arrangement in which a grantor transfers assets to a trustee to hold and administer for the benefit of one or more beneficiaries. Cumulus, through its trust affiliate, serves as corporate trustee, co-trustee, or successor trustee for both revocable and irrevocable trusts. The trustee acts in a fiduciary capacity and owes duties of loyalty, impartiality, prudence, and good faith under the applicable Uniform Trust Code and the prudent-investor rule codified in the Uniform Prudent Investor Act.

Investment products are not FDIC insured, not bank guaranteed, and may lose value. Assets held in trust remain subject to market risk; Cumulus's fiduciary duty does not convert an investment into a guaranteed outcome.

VOCABULARY OF TRUST LAW

The roles in a trust

GRANTOR (SETTLOR, TRUSTOR)

Grantor (Settlor, Trustor)

The person who creates the trust and transfers assets to it. For a revocable trust, the grantor typically retains the power to amend or revoke during life. For an irrevocable trust, this power is relinquished.

TRUSTEE

Trustee

The fiduciary who holds legal title to trust assets, administers them in accordance with the trust instrument, and owes duties of loyalty, prudence, and impartiality to the beneficiaries.

BENEFICIARY

Beneficiary

The person or class of persons for whom the trust is held. Beneficiaries may be current (income) or remainder, discretionary or mandatory, vested or contingent.

CO-TRUSTEE

Co-trustee

A second trustee who acts jointly with the corporate trustee, bringing family knowledge and continuity while Cumulus provides administrative, investment, and regulatory depth.

SUCCESSOR TRUSTEE

Successor trustee

The trustee designated to act if an initial trustee is unable or unwilling to serve. Naming Cumulus as successor provides institutional continuity.

TRUST PROTECTOR

Trust protector

An optional non-fiduciary office empowered to remove trustees, modify administrative provisions, or address changes in law consistent with the grantor's intent.

TWO FAMILIES OF TRUSTS

Revocable vs. irrevocable

CHARACTERISTIC	REVOCABLE TRUST	IRREVOCABLE TRUST
Grantor's power to amend	Yes, at any time during life.	No (or very limited).
Primary purpose	Probate avoidance, incapacity planning, privacy.	Transfer-tax planning, asset protection, charitable planning, Medicaid planning.
Estate-tax inclusion	Included in the grantor's gross estate (IRC §2036).	Generally not included if properly structured and funded.
Income-tax treatment	Grantor trust — income reported on grantor's 1040.	Varies: grantor, complex, or simple trust; may file 1041.
Creditor protection	None for the grantor (revocable = reachable).	Can provide meaningful asset protection when structured under state asset-protection trust statutes.
Typical funding	Continuous — retitle throughout life.	Discrete — gifts or sales at inception and thereafter.

A BRIEF VOCABULARY

Commonly-used irrevocable structures

STRUCTURE	PRIMARY PURPOSE	KEY CHARACTERISTICS
Irrevocable Life Insurance Trust (ILIT)	Exclude life-insurance proceeds from the taxable estate.	Owns the policy; premiums contributed through Crummey powers; beneficiaries receive proceeds estate-tax-free.
Grantor Retained Annuity Trust (GRAT)	Transfer appreciation above the §7520 rate with minimal gift-tax cost.	Grantor retains an annuity; remainder passes to beneficiaries; 'zeroed-out' GRATs common.
Spousal Lifetime Access Trust (SLAT)	Use today's high exemption while preserving indirect access through a spouse.	Each spouse creates a SLAT for the other; reciprocal-trust doctrine is a key drafting concern.
Charitable Remainder Trust (CRT)	Income stream + charitable remainder; deferral of gain on appreciated property.	See separate Cumulus Charitable Trusts brochure.
Generation-Skipping Trust	Preserve wealth across generations without intermediate transfer tax.	GST exemption allocated at funding; may remain perpetual in qualifying jurisdictions.

TRANSPARENT, TIERED

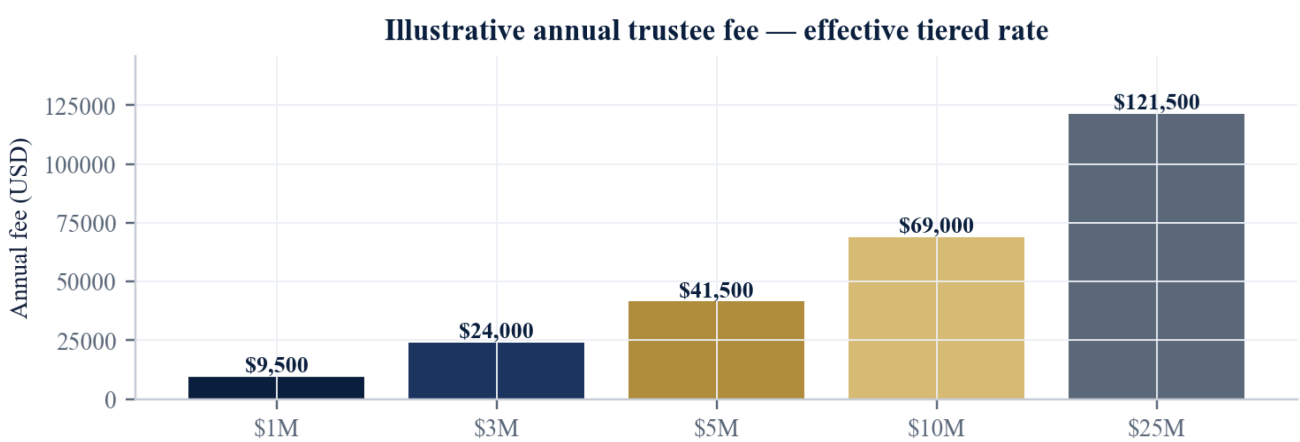
Trust administration fee schedule

Fees are calculated on the market value of the assets held in the trust as of the last business day of each calendar quarter and debited quarterly in arrears. The minimum annual fee is $5,000; a one-time setup fee of $2,500 applies. Investment management fees are included; attorney fees for trust modifications and the fees of any special assets (closely-held business interests, real estate, oil and gas) are billed separately by agreement.

ASSET TIER	ANNUAL FEE	CUMULATIVE
First $2,000,000	0.95%	Up to $19,000
Next $3,000,000 ($2M–$5M)	0.75%	Up to $41,500
Next $5,000,000 ($5M–$10M)	0.55%	Up to $69,000
Assets above $10,000,000	0.35%	Incremental
Minimum annual fee	$5,000 (applies below $525K tier blend)	
Setup fee	$2,500 (one-time, at funding)	

HOW FEES SCALE WITH ASSETS

Illustrative annual fee across relationship sizes



EFFECTIVE FEE RATES

At $1M the effective rate is 0.95%. At $3M it is 0.80%. At $5M it is 0.83%. At $10M it is 0.69%. At $25M it is 0.49%. Tier breakpoints produce a declining effective rate as assets grow — consistent with the economics of professional trust administration.

WHAT CUMULUS DELIVERS

Fiduciary responsibilities of the trustee

Administrative duties

— Hold, register, and safeguard trust assets in the name of the trust.

— Maintain complete and accurate books of account; prepare annual accountings consistent with the applicable UTC.

— File all federal and state fiduciary income-tax returns (Form 1041, state equivalents) through the Cumulus fiduciary tax group.

— Provide regular statements, distribution schedules, and beneficiary communications.

— Comply with notice and reporting requirements under the applicable state Uniform Trust Code.

Investment duties

— Invest and manage trust assets consistent with the prudent-investor rule (Uniform Prudent Investor Act).

— Consider the trust's purposes, terms, distribution requirements, and circumstances of beneficiaries.

— Diversify assets unless the trust instrument provides otherwise or special circumstances apply.

— Balance the interests of current and remainder beneficiaries (the duty of impartiality).

— Review the investment program no less frequently than annually and document the review.

THE ACCEPTANCE PROCESS

Engaging Cumulus as trustee

STEP	WHAT HAPPENS	TYPICAL TIMING
1 · Review of the instrument	Cumulus reviews the trust agreement for administrability, fiduciary powers, distribution standards, and any co-fiduciary provisions.	5–10 days
2 · Acceptance	A written acceptance memorandum is issued, identifying any required amendments or side letters and confirming the fee schedule.	1–5 days
3 · Funding	Assets are transferred into Cumulus custody: securities through ACATS, real estate by deed, private interests by assignment, insurance by change of owner and beneficiary.	30–60 days
4 · Administration	Distribution requests are evaluated against the trust standard (HEMS, ascertainable standard, or discretionary); investments are implemented under the written investment policy.	Ongoing
5 · Reporting	Annual accounting, tax-return delivery, and beneficiary communication calendar. Reviews with family are available quarterly or on request.	Annual / on request

COMMON QUESTIONS

Frequently asked questions

What is the difference between a revocable and an irrevocable trust in practical terms?

A revocable trust is a lifetime-management and probate-avoidance vehicle — the grantor typically retains full control and the assets remain in the estate. An irrevocable trust is a transfer-tax and asset-protection vehicle — the grantor gives up control in exchange for estate-tax and creditor-protection benefits.

Why engage a corporate trustee rather than a family member?

Corporate trustees bring impartiality, institutional depth, continuous succession, and regulatory expertise. Family trustees bring intimate knowledge of beneficiary circumstances. Many clients pair the two with Cumulus as corporate trustee or co-trustee and a family member as co-trustee or trust protector.

How does the prudent-investor rule affect my portfolio?

The Uniform Prudent Investor Act requires the trustee to develop an investment program suited to the purposes of the trust, the circumstances of the beneficiaries, and the duty of impartiality. It emphasizes portfolio-level risk and return (modern portfolio theory) rather than security-by-security prudence.

Can a trust be changed after the grantor's death?

An irrevocable trust may be modified in limited circumstances: by consent of all beneficiaries with court approval, by judicial modification (changed circumstances, administrative deviation), by decanting into a new trust where state law permits, or by action of a trust protector.

What happens if Cumulus is removed or resigns as trustee?

Most trust agreements include succession provisions. Absent such provisions, state law typically permits the beneficiaries to appoint a successor by consent. Cumulus will cooperate fully with any orderly transition and will deliver a final accounting.

DISCLOSURES & REGULATORY NOTICES

Important disclosures

§ Investment products and advisory services are offered through Cumulus Investment Services, LLC, a registered broker-dealer (member FINRA / SIPC) and an SEC-registered investment adviser, and an affiliate of Cumulus Bank, N.A.
§ Securities and advisory products: NOT FDIC INSURED · NOT BANK GUARANTEED · MAY LOSE VALUE · NOT A DEPOSIT · NOT INSURED BY ANY FEDERAL GOVERNMENT AGENCY.
§ Asset allocation and diversification do not ensure a profit or protect against loss in a declining market. Past performance is not a guarantee of future results.
§ Before investing, carefully consider the investment objectives, risks, charges, and expenses. Request a prospectus or Form ADV Part 2A disclosure brochure from your Cumulus advisor and read it carefully before investing.
§ Trust services are offered through Cumulus Trust Company, N.A., a national trust bank and affiliate of Cumulus Bank, N.A. Acceptance of a fiduciary appointment is at the discretion of Cumulus Trust Company, N.A. based on review of the trust instrument, the nature of the assets, and applicable law.
§ Investment management of trust assets is conducted under the prudent-investor rule as codified in the Uniform Prudent Investor Act and the applicable state Uniform Trust Code. Investment products are not FDIC insured, not bank guaranteed, and may lose value.
§ Cumulus does not provide legal or tax advice. Transfer-tax planning involves complex federal and state rules that are periodically revised. Consult your tax professional and legal counsel regarding your specific situation before establishing, funding, or modifying a trust.

NEXT STEPS

Speak with a Cumulus wealth advisor

A Cumulus advisor will review your objectives, time horizon, and tax considerations; explain the products and services available to you; and deliver a written proposal. Requests received today are typically returned within one business day.

ADVISOR LINE	954.417.2880 Client Services, Mon–Fri 7:00 a.m. – 9:00 p.m. ET · Sat 8:00 a.m. – 5:00 p.m. ET
ONLINE	cumulusbank-demo-bb054209d76d.herokuapp.com Apply online, review rates, or schedule an appointment.
PRIVATE OFFICE	Wealth Management offices are available by appointment. Request a meeting at cumulusbank-demo-bb054209d76d.herokuapp.com/wealth.